

INTERNAL AUDIT REPORT

Vendor Risk Audit | Report No. AR-02343

Report ID:	AR-02343
Audit Type:	Vendor Risk Audit
Report Date:	February 08, 2026
Audit Period:	2025-06-10 to 2026-01-11
Lead Auditor:	Toni Underwood (EMP-53626)
Reviewed By:	Andrew Cruz (EMP-33327)
Primary Vendor Reference:	Delta_Logistics Holdings (VND-00381)
Subject Employee Reference:	Savannah Ward (EMP-14769)
Primary Transaction Reference:	TXN-C643914817
Overall Risk Rating:	MEDIUM

1. EXECUTIVE SUMMARY

This vendor risk audit covered the period 2025-06-10 to 2026-01-11 and examined transactions, approvals, and compliance records associated with vendor Delta_Logistics Holdings (VND-00381) and employee Savannah Ward (EMP-14769). The audit identified 4 finding(s) requiring management attention, summarised in Section 3. The overall risk rating for this audit is assessed as **MEDIUM**.

2. SCOPE AND METHODOLOGY

The audit was conducted in accordance with the Internal Audit Charter and covered a sample of transactions processed through the Approval Workflow and Expense Claim systems. Testing included transaction tracing, approval limit verification, compliance record cross-referencing, and interviews with relevant process owners. Transaction ID TXN-C643914817 (amount 471,612.12 USD) was selected as a key test item.

3. FINDINGS

Finding ID	Severity	Category	Description
FND-004117	MEDIUM	MISSING RECEIPT	Expense claim missing receipt. Policy POL-0015 requires receipts for all claims above \$200.
FND-001124	LOW	POLICY BREACH	Employee submitted Marketing claim 60% above the authorised policy limit without prior exception approval.

Finding ID	Severity	Category	Description
FND-001148	MEDIUM	VENDOR RISK	Vendor WaveCore Manufacturing Inc holds CRITICAL risk rating. 5 payments totalling \$13,608 processed in the audit period.
FND-000534	HIGH	POLICY BREACH	Expense claim of \$386,074 for Software exceeds the policy maximum of \$100,000. Overage: \$21,223.

4. EVIDENCE REFERENCES

Evidence ID	Source Type	Citation Reference	Alignment Score
EVI-004313	VENDOR RECORD	EVD-FPY-7814	0.54
EVI-005784	HR RECORD	EVD-QRC-8540	0.74
EVI-007149	TRANSACTION RECORD	EVD-JJE-8650	0.54
EVI-010350	HR RECORD	EVD-VVU-3898	0.81
EVI-010912	HR RECORD	EVD-FPB-2658	0.80
EVI-015266	AUDIT REPORT	EVD-IBX-0223	0.96

5. RECOMMENDATIONS

- Review and update vendor risk ratings following adverse compliance findings.
- Strengthen segregation of duties between transaction initiation and approval functions.
- Implement enhanced due diligence procedures for vendors rated HIGH or CRITICAL risk prior to contract renewal.

6. MANAGEMENT RESPONSE

Management partially agrees with the findings; a remediation plan has been submitted for review by the Audit Committee.

7. SIGN-OFF

Role	Name	Employee ID	Date
Lead Auditor	Toni Underwood	EMP-53626	2026-02-08
Reviewing Officer	Andrew Cruz	EMP-33327	2026-02-10